

Investment Analysis

Investment Overview

The modeled acquisition represents a \$12.0 million real estate investment financed with 70% debt and 30% equity. The resulting initial equity investment is approximately \$3.6 million. The model assumes a five-year holding period, 3% annual rent growth, 5% vacancy, a 6.25% interest rate on a 30-year loan, and a 6.5% exit cap rate.

Under these assumptions, the investment produces strong projected returns. The model generates a 39.8% IRR, a 4.39× equity multiple, and an NPV of approximately \$7.5 million using an 8% discount rate. Cash-on-cash returns increase from approximately 15.3% in Year 1 to 19.6% in Year 5.

Operating Performance

The property's operating performance improves throughout the five-year holding period. Effective gross income increases from approximately \$1.77 million in Year 1 to \$1.99 million in Year 5, while operating expenses increase from approximately \$591,000 to \$653,000.

Because revenue grows faster than operating expenses under the assumptions in the model, NOI increases from approximately \$1.18 million in Year 1 to \$1.33 million in Year 5. This represents an increase of roughly 13.3% over the holding period.

The growth in NOI is important because it directly supports increasing cash flow to equity and also contributes to the property's estimated value at the time of sale. However, the projected growth depends on the assumptions for rent growth, other income growth, vacancy, and operating expense growth. Therefore, the strength of the operating results is dependent on the accuracy of these assumptions.

Investment Returns

The modeled investment produces attractive returns to equity investors. Cash flow before sale increases from approximately \$550,000 in Year 1 to \$706,000 in Year 5, resulting in increasing cash-on-cash returns throughout the holding period.

The investment's 39.8% IRR and 4.39× equity multiple indicate that the model projects substantial growth in the investor's equity. The equity multiple means that approximately \$4.39 of total cash is projected to be returned for every \$1.00 of initial equity invested.

The NPV of approximately \$7.5 million is also strongly positive when using the model's 8% discount rate. This indicates that, under the assumed cash flows and required return, the investment creates substantial value above the initial equity investment.

However, the magnitude of these returns warrants additional investigation. A 39.8% IRR is high enough that an investor should carefully examine which assumptions are responsible for producing it rather than simply accepting the result at face value.

Sources of Return

A significant portion of the investment's projected return comes from the eventual sale of the property. Annual cash flow before sale ranges from approximately \$550,000 to \$706,000, while Year 5 sale proceeds contribute approximately \$12.7 million to equity cash flow.

This means the investment's overall return is highly dependent on the assumed exit value. The exit value is calculated using Year 5 NOI and the 6.5% exit cap rate, meaning changes in either NOI or the exit cap rate can materially affect the investor's final return.

This creates an important distinction between the property's ability to generate operating cash flow and the investor's overall return. The property's operating performance is positive, but the exceptionally high IRR and equity multiple are also being driven by the large distribution received when the property is sold.

Sensitivity and Risk

The sensitivity analysis examines the effects of changing purchase price and exit cap rate on IRR. The results indicate that purchase price has a larger impact on IRR than exit cap rate within the ranges tested.

At a 5.5% exit cap rate, increasing the purchase price from \$10 million to \$14 million reduces IRR from approximately 56.4% to 37.0%. At a 7.5% exit cap rate, the same purchase-price increase reduces IRR from approximately 45.9% to 24.9%.

Similarly, holding the purchase price at \$10 million while increasing the exit cap rate from 5.5% to 7.5% reduces IRR from approximately 56.4% to 45.9%.

The investment therefore appears relatively resilient to changes in these two assumptions within the tested ranges. Even the most pessimistic combination in the sensitivity table produces an IRR of approximately 24.9%. However, this should not be interpreted as proof that the investment is broadly robust because the sensitivity analysis only tests purchase price and exit cap rate. Changes in rent growth, vacancy, operating expenses, interest rates, or leverage could produce additional effects that are not captured in this table.

Investment Conclusion

Based on the assumptions in the model, the investment appears financially attractive. The property produces growing NOI and cash flow throughout the holding period, while the projected IRR, equity multiple, cash-on-cash returns, and NPV all indicate strong potential returns to the equity investor.

The primary concern is not that the modeled returns are too low, but that they may be unusually high relative to the assumptions being made. A substantial portion of the total return comes from the Year 5 sale, making the investment sensitive to the property's eventual exit value. The sensitivity analysis also demonstrates that acquisition price is an important driver of returns.

As a result, I would view the investment as attractive under the modeled assumptions but would not make an investment decision based solely on the current model. Before proceeding, I would want to validate the assumptions surrounding rent growth, vacancy, operating expenses, financing terms, and the exit cap rate. I would also conduct additional downside scenarios to determine whether the investment remains attractive when multiple assumptions deteriorate simultaneously.

Overall, the model suggests that purchasing the property at the assumed \$12 million price could produce substantial equity returns. However, the unusually high projected IRR makes careful validation of the underlying assumptions particularly important.